
Handout, Session 2: What Bitcoin is, in plain words

Keep this page. It sums up what we covered.

The problem Bitcoin solves

People wanted digital money that works like cash, sent straight from one person to another, with no bank or company in the middle. Earlier attempts always needed a central office to run them. If that office was shut down or chose to block someone, the money stopped working. Bitcoin was designed to work without trusting any single company or government.

Where it came from

In 2008 a person or group using the name Satoshi Nakamoto shared a short paper describing the design. In January 2009 the network started running. The identity behind the name is unknown, but the goal was clear: take power away from the few and give ordinary people money no one can quietly print more of.

What Bitcoin is, in four plain points

- **It is money.** Digital money that lives on computers all over the world, not in one building.
- **It is peer-to-peer.** You can send it straight to another person, the way you hand over cash, without a bank approving it.
- **No one is in charge.** There is no boss and no head office. No one can switch it off or change the rules for their own gain.
- **It is an agreement among people.** Like a board game, everyone follows the same rules. If someone tries to cheat, the others reject them.

The fixed limit

There will only ever be **21 million** bitcoins. This rule is built in and cannot be changed by anyone. If someone tried to create extra for themselves, every other computer running

the software would reject it. This is the opposite of fiat money, which can be created at will.

One bitcoin splits into **100,000,000 satoshis**, called "sats." Sats are the everyday unit. You do not need a whole bitcoin to use it.

Why people call it sound digital money

It is scarce, with a fixed limit. It is very hard to counterfeit. And it is open to anyone with a phone and an internet connection. There are even ways to use it on a basic feature phone.

An honest note

Bitcoin is still young, like the internet was in the 1990s. Its price measured in **[local currency]** can rise and fall. Treat it as money to understand and use, not a promise of profit. This course gives no financial advice and makes no price predictions.

Next

In Session 3 you will set up your own wallet, write down your seed phrase, and receive your first sats.

Glossary of terms: [../ ../ ../translations/GLOSSARY.md](https://satsontheroad.com/translations/GLOSSARY.md)